



Tamil Nadu Climate Resilient Urban Development Program (P179189)

SOUTH ASIA | India | Urban, Subnational Finance, Disaster Management, Tourism Global Practice | Requesting Unit: SACIN (347) | Responsible Unit: ISAU1 (9353)
IBRD/IDA | Program-for-Results Financing | FY 2024 | Team Leader(s): Raghu Kesavan

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1. PROJECT DEVELOPMENT OBJECTIVE

1.1 Development Objective

Original Development Objective (Approved as part of Approval package on 21-Dec-2023)
To strengthen urban management and improve access to efficient and climate resilient urban water and sanitation services in participating ULBs in Tamil Nadu

2. OVERALL RATINGS

Name	Previous	Current
Progress towards achievement of PDO	● Satisfactory	● Satisfactory
Overall Implementation Progress (IP)	● Satisfactory	● Satisfactory
Overall Risk Rating	● Substantial	● Substantial

3. KEY ISSUES & STATUS

3.1 Implementation Status and Key Decisions

Five Five Urban Local Bodies (ULBs) have achieved the Program Development Objective indicator target for own-source revenue increase of above 65 percent over the FY 2021–22 baseline, and all 21 ULBs have met the Minimum Conditions under Disbursement-linked Indicator (DLI) 4. The value of municipal bonds issued has exceeded the end target of US\$30 million, and the 50 percent target for women in decision-making positions in City Climate Action Plan Committees has been achieved. Water and sanitation (WSS) sub-projects are being implemented in 21 participating ULBs. The Independent Verification Agency (IVA) has verified the achievement of the DLIs related to increase in own source revenues, improved fundamental institutional capacity, strengthened institutional capacity to manage resources in a sustainable, participatory, and green manner, implementation of WSS investments incorporating climate resilience guidelines, signing of Performance-based Contracts, and increased access to financial markets.



4. DATA ON FINANCIAL PERFORMANCE

4.1 Disbursements (by loan)

Loan/Credit/TF	Status	Original	Revised	Cancelled	Disbursed	Undisbursed	Historical Disbursed	% Disbursed
IBRD-96250	Effective	300.00	283.50	0.00	70.23	213.27	0.00	24.77%

4.2 Key Dates (by loan)

Loan/Credit/TF	Status	Approval	Signing	Effectiveness	Orig. Closing	Rev. Closing
IBRD-96250	Effective	21-Dec-2023	05-Mar-2024	22-Apr-2024	31-Dec-2030	31-Dec-2030

4.3 Program Action Plan

Action Description	Issue Government Order to operationalize the Program				
Source	DLI#	Responsibility	Timing	Timing Value	Status
Other	NA	Government of Tamil Nadu	Other	Within four months from effectiveness of the Loan Agreement	Completed
Completion Measurement	Government of Tamil Nadu issues GO which covers the scope, results areas and DLIs, implementation arrangements, budgets, fund flow arrangements of the Program and adoption of Program Operations Manual.				
Comments	The Government Order was issued on May 20, 2024.				

Action Description	ULBs implementing 24x7 water supply and sewerage subprojects issue tariff by-laws that require volumetric tariffs for water supply and user charges for sewerage services				
Source	DLI#	Responsibility	Timing	Timing Value	Status



Technical	NA	ULBs	Other	Within two years from Effectiveness date	In Progress
Completion Measurement	ULBs implementing 24x7 water supply and sewerage subprojects issue legally binding notification which sets out volumetric tariffs for water supply and at least a flat monthly charge for sewerage services				
Comments	The DMA has circulated a Common Template for bylaws with volumetric tariff to all the ULBs and 17 ULB Councils have adopted it. The remaining four ULBs are expected to obtain Council approvals by June 30, 2026.				

Action Description	Screen and assess environmental impacts of Program activities, implement Environmental and Social Management Plan (ESMP) guided by environmental and social sections of the POM, with monitoring linked to Tamil Nadu Urban Tree Information System				
Source	DLI#	Responsibility	Timing	Timing Value	Status
Environmental and Social Systems	NA	TNUIFSL and DMA	Other	Environmental and Social Guidance Sections prepared and agreed as part of POM within four months from effectiveness, and followed for all Program activities	In Progress
Completion Measurement	Confirmation by Annual Environmental and Social Audits that all Program activities follow the systems developed in ESSA				
Comments	ESIAs have been prepared for all 28 sub-projects. The ESMP has been included in the bid documents as well as in the contract document. Monitoring of ESMP compliance needs to be strengthened.				

Action Description	Develop environmental management capacities at Program agencies including trainings and guidance to support prevention of Manual Scavenging				
Source	DLI#	Responsibility	Timing	Timing Value	Status



Environmental and Social Systems	NA	DMA, TNUIFSL and ULBs	Other	Develop within two years after the effectiveness of the Loan Agreement and continued throughout Program implementation	Delayed
Completion Measurement	Confirmation on environmental management capacities, and support activities (referring to ESSA) as part of Annual Environmental Audits				
Comments	Environmental management capacities need to be strengthened. Manual scavenging assessment under the first E&S Audit needs to be expedited and completed by July 31, 2026.				

Action Description	Develop and implement a comprehensive Stakeholder Engagement Strategy and Action Plan				
Source	DLI#	Responsibility	Timing	Timing Value	Status
Environmental and Social Systems	NA	TNUIFSL and DMA	Other	Developed within six months from effectiveness; implementation throughout Program duration	Delayed
Completion Measurement	Action plan for improving marginalized population's (including women's) access to grievance redressal system and getting citizen feedback, and communication activities on metering, tariffs, sewerage connection and emergency response are implemented.				
Comments	Procurement process needs to be expedited; consultant onboarding and work commencement should be completed by July 31, 2026.				

Action Description	Strengthen staffing and fiduciary capacity of the implementing agencies				
Source	DLI#	Responsibility	Timing	Timing Value	Status
Fiduciary Systems	NA	DMA and TNUIFSL	Other	Within six months from effectiveness	Delayed
Completion Measurement	Staff appointed and trained (as detailed in the POM).				
Comments	The DMA/TNUIFSL to complete recruitment of staff and provide training to accounts personnel of ULBs on accounting for this Program by June 30, 2026.				



Action Description	Appoint external auditor for the Program				
Source	DLI#	Responsibility	Timing	Timing Value	Status
Fiduciary Systems	NA	DMA and TNUIFSL	Other	Within six months from effectiveness and periods as per the IFSA	In Progress
Completion Measurement	Appoint an auditor to conduct annual Program audit and submit separate reports for financial management and procurement to the Bank				
Comments	Auditor was appointed for FY24-25, to be appointed for FY25-26.				

Action Description	Establish a complaint handling mechanism at implementing agencies to handle Program related fiduciary complaints				
Source	DLI#	Responsibility	Timing	Timing Value	Status
Fiduciary Systems	NA	DMA/TNUIFSL in coordination with ULBs	Other	Within three months from effectiveness and semi-annually	Completed
Completion Measurement	Functional complaint handling mechanism established and contact of nodal officer displayed on the official website for receiving complaints. Semi-annual reports using the formats provided in the POM submitted.				
Comments	Report was submitted.				

Action Description	Establish water and wastewater quality surveillance program and disclose results				
Source	DLI#	Responsibility	Timing	Timing Value	Status
Technical	NA	ULBs	Other	Within three years of Program implementation	In Progress
Completion Measurement	ULBs have established the surveillance program for city-wide sampling, testing and disclosure of water quality and wastewater influent and effluent quality as per applicable norms, and disclose results on a quarterly basis (see POM for details).				
Comments	The Program plans to adopt CPHEEO guidelines and TNPCB norms. Gap analysis will be completed in all ULBs by July 31, 2026.				



Action Description	Strengthen procurement and contract management by (a) integrating the Procurement Plan for the Program to MIS; and (b) developing Standard Tender Documents and guidance for the Program				
Source	DLI#	Responsibility	Timing	Timing Value	Status
Fiduciary Systems	NA	DMA	Other	(a) Within a year from effectiveness and disclose procurement information annually; (b) within six months from effectiveness and update periodically.	In Progress
Completion Measurement	(a) PP is integrated with MIS and monitored through KPIs (see IFSA). Procurement information and contract award details are disclosed; (b) STDs are developed and adopted for the Program's procurement; detailed guidance is included as an annex in POM.				
Comments	Ongoing for (a) and completed for (b).				

Action Description	Ensure bid documents and contracts have adequate resources provisioned for management of the social risks identified in the Detailed Project Reports				
Source	DLI#	Responsibility	Timing	Timing Value	Status
Environmental and Social Systems	NA	ULBs, TNUIFSL and DMA	Other	Before signing of contracts; implementation throughout Program duration	Completed
Completion Measurement	Bid documents and contracts have adequate resources provisioned for management of the social risks identified in the DPRs; Contractors' responsibilities on management of social risks and impacts are rigorously monitored by IAs.				
Comments	The World Bank ESHS has been included in all the bid/ contract documents. The ESMP cost has been included in the BoQ as a separate schedule.				

Action Description	Ensure all Detailed Project Reports identify and address social risks and all activities that involve compulsory land acquisition/involuntary resettlement are excluded from the Program				
Source	DLI#	Responsibility	Timing	Timing Value	Status



Environmental and Social Systems	NA	ULBs, TNUIFSL and DMA	Other	Before DPRs are finalized and approved	Completed
Completion Measurement	All DPRs have identified social risks using the screening checklist provided in the ESSA and addressed the identified social risks. All activities that involve compulsory land acquisition/involuntary resettlement have been excluded from the Program.				
Comments	TNUIFSL confirmed (in a letter dated 18.10.2023) that none of the sub-projects involve any land acquisition or involuntary resettlement.				

5. KEY DATES

Key Events	Planned	Actual
Approval	21-Dec-2023	21-Dec-2023
Effectiveness	22-Apr-2024	22-Apr-2024
Operation Closing/Cancellation	31-Dec-2030	

6. SYSTEMATIC OPERATIONS RISK-RATING TOOL

Risk Category	Rating at Approval Approval Package - 22 Dec 2023	Last Approved Rating ISR Seq. 04 - 03 Dec 2025	Proposed Rating
Political and Governance	● Moderate	● Moderate	● Moderate
Macroeconomic	● Moderate	● Moderate	● Moderate
Sector Strategies and Policies	● Moderate	● Moderate	● Moderate
Technical Design of Project or Program	● Substantial	● Substantial	● Substantial
Institutional Capacity for Implementation and Sustainability	● Moderate	● Moderate	● Moderate
Fiduciary	● Moderate	● Moderate	● Moderate
Environment and Social	● Substantial	● Substantial	● Substantial



Stakeholders	● Moderate	● Moderate	● Moderate
Overall	● Substantial	● Substantial	● Substantial



7. RESULTS

7.1 PDO Indicators by PDO Outcomes

RA 1: Strengthening Urban Management, Institutional Framework & Climate Resilience								
Indicator Name	Baseline		Actual (Previous)		Actual (Current)		Closing Period	
	Value	Month/Year	Value	Date	Value	Date	Value	Month/Year
ULBs with OSR increase of above 65 percent over respective baselines in FY2021-22 (Number)	0	Sep/2023	5	31-Oct-2025	5	30-Apr-2026	17	Dec/2030
	Comments on achieving targets		Dindigul, Tambaram, Thiruvapur, Cuddalore and Salem have over 65 percent increase in OSR.					
ULBs with adoption of CCAP (Number)	0	Sep/2023	0	31-Oct-2025	0	30-Apr-2026	17	Dec/2030
	Comments on achieving targets		ULBs have formed CCAP committees; CCAPs in 21 ULBs are being developed.					
ULBs with institutional performance indicator score above 60 points out of 100 (Number)	0	Sep/2023	0	31-Oct-2025	11	30-Apr-2026	17	Dec/2030
	Comments on achieving targets		11 ULBs have scored above 60 for Year 2.					
RA 2: Improving Accessibility, Climate Resilience and Efficiency of Urban WSS Services								
Indicator Name	Baseline		Actual (Previous)		Actual (Current)		Closing Period	
	Value	Month/Year	Value	Date	Value	Date	Value	Month/Year
People provided with access to functional WSS services under the Program (Number)	0	Sep/2023	0	31-Oct-2025	0	30-Apr-2026	2,020,946	Dec/2030
	Comments on achieving targets		28 WSS sub-projects are being implemented and are in various stages of progress.					
	0	Sep/2023	0	31-Oct-2025	0	30-Apr-2026	1,010,473	Dec/2030



Women provided with access to functional WSS services under the Program (Number)	Comments on achieving targets		As noted above.					
People provided with access to functional water services (Number)	0	Sep/2023	0	31-Oct-2025	0	30-Apr-2026	763,034	Dec/2030
	Comments on achieving targets		As noted above.					
People provided with access to functional sewerage service (Number)	0	Sep/2023	0	31-Oct-2025	0	30-Apr-2026	1,257,912	Dec/2030
	Comments on achieving targets		As noted above.					
ULBs with increase in cost recovery of O&M expenses in WSS services of at least 30 percentage points over respective baseline in FY2021-22 (Number)	0	Sep/2023	0	31-Mar-2025	0	30-Apr-2026	17	Dec/2030
	Comments on achieving targets		The baseline is being validated.					

7.2 Intermediate Results Indicators by Results Areas

RA 1: Strengthening Urban Management, Institutional Framework & Climate Resilience								
Indicator Name	Baseline		Actual (Previous)		Actual (Current)		Closing Period	
	Value	Month/Year	Value	Date	Value	Date	Value	Month/Year
ULBs meeting the minimum conditions (Number)	0	Jun/2023	21	31-Oct-2025	21	30-Apr-2026	17	Jun/2030
	Comments on achieving targets		21 ULBs have met the MCs in Year 2.					



Women holding decision-making positions in CCAP Committees (Percentage)	0	Sep/2023	50	31-Oct-2025	50	30-Apr-2026	50	Dec/2030
	Comments on achieving targets		CCAP committees have been formed in all 21 ULBs with 50% women members.					
Value of municipal bonds issued under the Program (US\$ million) (Amount (USD))	0	Sep/2023	24	31-Oct-2025	44	30-Apr-2026	30	Dec/2030
	Comments on achieving targets		Municipal bonds of INR 367 crore (US\$44 million) were issued by Chennai, Tiruppur and Coimbatore to finance water system improvement.					
RA 2: Improving Accessibility, Climate Resilience and Efficiency of Urban WSS Services								
Indicator Name	Baseline		Actual (Previous)		Actual (Current)		Closing Period	
	Value	Month/Year	Value	Date	Value	Date	Value	Month/Year
Water connections delivering ULBs with 24x7 water service delivery (Number)	0	Sep/2023	0	31-Oct-2025	0	30-Apr-2026	87,760	Dec/2030
	Comments on achieving targets		14 24x7 water supply sub-projects are being implemented.					
Households connected to the sewerage network in Program areas (Number)	0	Sep/2023	0	31-Oct-2025	0	30-Apr-2026	279,536	Dec/2030
	Comments on achieving targets		14 sewerage sub-projects are being implemented.					
ULBs implementing volumetric billing of all 24x7 connections (Number)	0	Sep/2023	0	31-Oct-2025	0	30-Apr-2026	9	Dec/2030
	Comments on achieving targets		14 24x7 water supply sub-projects are being implemented.					
Areas designated as parks developed in participating ULBs (Percentage)	40	Sep/2023	40	31-Oct-2025	40	30-Apr-2026	60	Dec/2030
	Comments on achieving targets		Verification to be completed by June 30, 2026					
ULBs demonstrating energy savings in municipal assets of above 25% over respective	0	Sep/2023	0	31-Oct-2025	0	30-Apr-2026	17	Dec/2030
	Comments on achieving targets		Verification to be completed by June 30, 2026.					



baseline in 2021-22 (number) (Number)								
ULBs with reduction in time spent by women and girls managing water collection of above 20 percent over respective baseline in 2024 (Number)	0	Sep/2023	0	31-Oct-2025	0	30-Apr-2026	9	Dec/2030
	Comments on achieving targets		Baseline data has been collected by the contractors. Surveys will be done by ULBs through the contractors upon sub-project completion.					

7.3 Disbursement Linked Indicators (DLI)

PBC Name		Baseline	Actual (Previous)		Actual (Current)		Closing Period
			Value	Date	Value	Date	
1:Increase in OSR (Percentage) Partially achieved	Value	The total OSR of the Participating ULBs was US\$127.23 million in FY2021-22	Increase in OSR in FY22-23 is 36% over the baseline. JPY 2,106,272,967.56 was disbursed. Increase in OSR in FY23-24 is 58% over the baseline. JPY 520,807,386.36 is expected to be disbursed in December 2025.	31-Oct-2025	OSR in FY22-23 is INR 15,567,174,344.71, 34% increase over the baseline; OSR in FY23-24 is INR 18,030,719,725, 58% increase over the baseline. JPY 2,627,080,353 has been disbursed.	30-Apr-2026	Incremental increase in OSR over respective Participating ULB baseline in FY2021-22
	Allocated Amount	0.00					4,330,080.00



DLI allocation			27,063,000.00				
2:Increased access to financial market (Amount (USD)) Achieved	Value	No	Greater Chennai Corporation issued municipal bonds of INR 200 crore (US\$24 million) for storm water drain in May 2025. Disbursement of JPY 482,192,000 is expected in December 2025.	31-Oct-2025	Chennai, Tiruppur and Coimbatore issued municipal bonds of INR 367 crore (US\$44 million) for urban water system. JPY 482,192,000 has been disbursed. JPY 120,549,334 is expected to be disbursed by June 30, 2026.	30-Apr-2026	--
	Allocated Amount	0.00					0.00
DLI allocation			4,000,000.00				
3:Enhanced institutional capacity for climate resilience planning (Text) Not Due	Value	No available CCAP	0	31-Oct-2025	0	30-Apr-2026	No. of ULBs that have adopted and initiated implementation of CCAP
	Allocated Amount	0.00					600,000.00
DLI allocation			6,000,000.00				
4:Improved fundamental	Value	No participating ULBs have met the MCs in the baseline year	18 ULBs met MCs for FY23-24. JPY301,579,073.01 (US\$2.0 million)	31-Oct-2025	18 ULBs met MCs for FY23-24; 21 ULBs met MCs for FY24-25.	30-Apr-2026	Number of Participating ULBs



institutional capacity (Text) Partially achieved			was disbursed. 21 ULBs met MCs for FY24-25. JPY 342,164,309.66 is expected to be disbursed in December 2025.		JPY 643,743,382 has been disbursed.		that have met MCs
	Allocated Amount	0.00					2,272,000.00
DLI allocation			13,632,000.00				
5:Strengthened institutional capacity to manage resources in a sustainable, participatory, and green manner (Text) Not Due	Value	-	Verification for FY24-25 is ongoing and will be completed by January 31, 2026.	31-Oct-2025	21 ULBs have achieved scores above Year 2 target and met the condition for full disbursement. JPY 606,346,207.94 is expected to be disbursed by June 30, 2026.	30-Apr-2026	Aggregate score of performance indicators achieved by the Participating ULBs
	Allocated Amount	0.00					4,090,000.00
DLI allocation			20,450,000.00				
6:Delivery of functional water and sewerage connections (Number)	Value	0	JPY 3,263,695,176.60	31-Oct-2025	JPY 3,263,695,176.60	30-Apr-2026	See DLI6.1, 6.2 and 6.3
	Allocated Amount	0.00					40,148,160.00



Partially achieved							
DLI allocation			139,500,000.00				
6.1:ULBs implementation of WSS investments incorporating climate resilience guidelines (Text) Partially achieved	Value	-	IVA verification for FY25-26 (Year 2), Quarter 1 was completed, and JPY 3,263,695,176.60 was disbursed.	31-Oct-2025	16 ULBs have implemented WSS investments incorporating climate resilience guidelines. JPY 3,263,695,176.60 was disbursed.	30-Apr-2026	-
	Allocated Amount	0.00					
DLI allocation			69,750,000.00				
6.2:Number of new or rehabilitated functional water tap connections (Number) Not Due	Value	0	0	31-Oct-2025	0	30-Apr-2026	Number of additional new or rehabilitated FWTCs
	Allocated Amount	0.00					8,509,200.00
DLI allocation			17,018,400.00				
6.3:Number of new functional sewerage connections (Number) Not Due	Value	0	0	31-Oct-2025	0	30-Apr-2026	Number of additional new FSCs
	Allocated Amount	0.00					31,638,960.00
DLI allocation			52,731,600.00				



7:Increased operational, climate and financial efficiency of WSS services (Text) Partially achieved	Value	--	JPY 2,629,678,072	31-Oct-2025	JPY 2,629,678,072	30-Apr-2026	See DLI7.1, 7.2, 7.3 and 7.4
	Allocated Amount	0.00					19,663,870.00
DLI allocation			54,405,000.00				
7.1:Number of ULBs with PBCs signed for water and/or sanitation services (Number) Achieved	Value	0	All ULBs have signed PBCs and verified by IVA. JPY 2,629,678,072 under DLR 7.1 has been fully disbursed.	31-Oct-2025	All ULBs have signed PBCs and verified by IVA. JPY 2,629,678,072 under DLR 7.1 has been fully disbursed.	30-Apr-2026	--
	Allocated Amount	0.00					0.00
DLI allocation			17,451,492.00				
7.2:Number of water connections with NRW 20% or below in areas receiving 24 x 7 services (Number) Not Due	Value	0	0	31-Oct-2025	0	30-Apr-2026	--
	Allocated Amount	0.00					0.00
DLI allocation			4,265,896.00				



7.3:Increase in cumulative volume of sewage treated (meeting minimum standards) in eligible existing STPs (Text) Not Due	Value	111 MLD	0	31-Oct-2025	0	30-Apr-2026	Increase in cumulative volume of sewage treated (meeting minimum standards) over baseline, in eligible existing STPs
	Allocated Amount	0.00					8,550,000.00
DLI allocation			8,550,000.00				
7.4:Increase in O&M cost recovery of WSS services (Number) Not Due	Value	0	0	31-Oct-2025	0	30-Apr-2026	Increase in O&M cost recovery of WSS services over ULB respective baseline
	Allocated Amount	0.00					8,045,872.00
DLI allocation			24,137,612.00				
8:Improved city-level climate resilience (Text) Not Due	Value	--	0	31-Oct-2025	0	30-Apr-2026	--
	Allocated Amount	0.00					0.00
DLI allocation			13,950,000.00				
8.1:Energy savings over respective ULB	Value	241,254,186 kWh energy consumption	Baseline confirmation is	31-Oct-2025	Verification by IVA will be completed by June 30, 2026.	30-Apr-2026	--



baseline of FY2021-22 (Text) Not Due		from municipal assets in FY2021-22	currently underway.				
	Allocated Amount	0.00					
DLI allocation			9,067,500.00				
8.2:Increase in area of green space (Square Meter (m2)) Not Due	Value	1.23 million m2 of developed parks exists in participating ULBs	Verification being done and will be completed by January 2026.	31-Oct-2025	Verification by IVA will be completed by June 30, 2026.	30-Apr-2026	-
	Allocated Amount	0.00					0.00
DLI allocation			4,882,500.00				